DEAL INTELLIGENCE

$15M for a 75-Unit Apartment in Wausau: The Price of New Supply in a Thin Market

A 2020-vintage multifamily asset trades at a basis that reveals how capital is pricing replacement cost risk in secondary markets.

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A source-grounded Light Tower Insight. The complete note follows.

The Apartments at Riverlife in Wausau, Wisconsin, sold for $15 million. That is $200,000 per unit for a 75-unit building built in 2020, overlooking the Wisconsin River. The number matters less for what it says about Wausau than for what it says about the market for new multifamily supply in places where few people are looking.

This is not a coastal trade. It is not a Sun Belt growth story. It is a 72,177-rentable-square-foot property in central Wisconsin, sold by a local LLC to a Wisconsin-based investor. The buyer is not a national platform chasing scale. The seller is not a distressed fund forced to liquidate. The transaction is a local capital event, and that is precisely why it is worth examining.

The price per unit—$200,000—is the first signal. For a 2020-vintage asset, that basis is not cheap. It reflects the cost of building new in a market where construction costs have risen faster than rents can absorb. The buyer is effectively paying for the absence of deferred maintenance, the efficiency of modern floor plans, and the rent premium that a new building can command over a 1980s garden-style property. But the buyer is also paying for something else: the scarcity of new supply in a market where most multifamily inventory was built before 2000.

Wausau's multifamily stock is old. The city's population is roughly 40,000, with a metro area of about 135,000. New construction is rare. When a 75-unit building comes to market, it is not competing against a pipeline of similar product. It is competing against the alternative: buying an older property and spending capital on renovations, or building from scratch at today's construction costs, which in Wisconsin's non-metro markets can run $250,000 to $300,000 per unit for midrise wood-frame product. At $200,000 per unit, the buyer is paying below replacement cost. That is the economic logic of the trade.

The seller, Riverlife Wausau LLC, developed the property in 2020. That timing is revealing. The building was completed during the pandemic, when construction costs were still climbing but before the full impact of rate hikes hit development feasibility. The seller likely underwrote the project at a lower cost of capital than what exists today. Selling now, five years later, allows the sponsor to capture the rent growth that occurred as the building stabilized, and to exit before the next refinancing cycle tests the property's current NOI against today's interest rates. The buyer, in turn, acquires a stabilized asset with a rent roll that has already been proven through the post-2020 demand cycle.

The broker, Dan Bowar of Marcus & Millichap, represented both sides. That is common in secondary markets where the pool of qualified buyers is small. The transaction did not require a national marketing campaign. It required finding one Wisconsin-based investor with the equity, the conviction, and the local knowledge to underwrite a $15 million deal in a market that most institutional capital would not visit.

What does this deal reveal about capital? First, that new construction in secondary markets trades at a premium to older stock, but that premium is capped by the local rent ceiling. In Wausau, market-rate rents for a new two-bedroom unit likely run $1,200 to $1,400 per month. At $200,000 per unit, the implied gross rent multiplier is roughly 12 to 14 times annual rent. That is not a growth multiple. It is a stability multiple. The buyer is not underwriting rent growth of 5 percent annually. The buyer is underwriting that the building will maintain its occupancy and that the local economy will not deteriorate.

Second, the deal tests the availability of debt for secondary-market multifamily. A $15 million purchase price implies a loan of roughly $10 million to $11 million at a 65 to 70 percent LTV. In Wausau, that loan is not coming from a money-center bank. It is coming from a regional bank, a credit union, or a local lender who knows the market. The buyer's ability to secure that financing at a rate that makes the deal work is the real constraint. If the buyer can finance at 6.5 percent to 7 percent, the deal pencils. If the rate pushes toward 8 percent, the margin disappears.

Third, the transaction signals that capital is still willing to buy new multifamily in secondary markets, but only at a basis that reflects local rent reality, not national rent projections. The buyer is not betting on Wausau becoming the next Austin. The buyer is betting that a well-built, well-located property in a stable market will generate a reliable cash flow. That is a conservative thesis, and it is the kind of thesis that works in a high-rate environment.

The market should test one thing next: whether the buyer's financing terms become public. If the loan carries a sub-7 percent rate, it will confirm that regional lenders are still willing to underwrite new multifamily in secondary markets at reasonable leverage. If the rate is higher, it will suggest that even the best new product in a thin market faces a cost of capital that compresses returns. Either way, the deal is a data point, not a trend. But it is a data point worth watching, because it shows that capital is still moving into places where most investors are not looking.

SOURCES

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